

UNITED THEY STAND
Foreign minister S. Jaishankar with US secretary of state Marco Rubio (third from right) and others at the Quad foreign ministers' meeting in Washington, Jan. 21

EXPERTS SAY THAT TRUMP'S PUNITIVE ACTIONS ARE A WAKE UP CALL FOR INDIA TO GO BACK TO THE DRAWING BOARD AND LIBERALISE ITS TRADE POLICY TO CASH IN ON THE EMERGING GLOBAL ECONOMIC ORDER

high table for deciding energy production and supply issues.

Aware that Trump's approach to international relations is transactional and puts America's business interests foremost, India had another carrot to offer: greater purchases of top-of-the-line US defence equipment. Since 2008, India has purchased close to $20 billion (Rs 1.73 lakh crore) worth of military platforms from the US, including heavy lift military aircraft like the C130J Super Hercules and the C-17 Globemaster III, the maritime patrol P-81 Poseidon, apart from attack helicopters like the AH-64E Apaches and CH-471 Chinooks, Harpoon anti-ship missiles, M777 howitzers and more recently the lethal MQ-9B drones.

In his meeting with Modi, Trump offered co-production arrangements for America's Javelin anti-tank guided missiles and Stryker infantry combat vehicles and agreed to review releasing fifth generation fighters and undersea systems for India. At the press conference, Trump announced that he was willing to look at selling America's top-of-the-line F-35 stealth fighter (*see Stealthy Arrowheads*). America hopes that India will increase purchases of US defence equipment, but clarifies that this cannot be set off to meet India's trade imbalance with the US. For India, as an official put it, "We regard the US partnership in defence as invaluable to us, considering the military asymmetry we have with China, so we felt that it is better we buy from America today rather than tomorrow."

For New Delhi, the other big gain was the deepening US commitment on building India's AI capability with the launch of the US-India TRUST (Transforming the Relationship Utilising Strategic Technology) initiative. This is much wider in scope than the Initiative for Critical and Emerging Technologies or iCET that the Biden administration had negotiated with Modi in May 2022. Central to TRUST is the commitment to work with the US and Indian private industry on a roadmap for accelerating Artificial Intelligence (AI) infrastructure by the year-end and identifying constraints such as finance, building, powering and connecting large-scale US origin AI infrastructure in India with milestones and future actions. Apart from that, the two countries agreed to work on building "trusted and resilient" supply chains, including semiconductors, critical minerals and advanced materials—all music to India's ears in its bid reduce dependence on China.

Overall, as Arun Singh, former Indian ambassador to the US, puts it, "The US signal is that yes, there are differences but we will be happy to work with India and do more things with it including new ones." Other experts see Trump's obsession with tariff equalisation as India's 1991 moment to revamp India's trade policies and make domestic industry more globally competitive. As an expert points out, "It's a good wake-up call for us and a fantastic opportunity to liberalise our trade policy. Reciprocal tariffs hit everybody but it strikes competitive economies more than complementary ones to the US. India is on the complementary side and with other countries including China likely to be more severely impacted, it is time for us to occupy the space in the global supply chains that these countries would vacate."

To do that, India needs to go back to the drawing board, reassess all the 11,000 tariff lines it has and vacate space being blocked by a protectionist-minded industry that continues to look for nanny treatment. Also needed is a revamp of the country's export negotiations set-up, including adding more experienced staff to quickly strike beneficial bilateral and multilateral deals. As Modi told Trump, "You have MAGA or Make America Great Again and I have Viksit Bharat by 2047 to Make India Great Again. MAGA+MIGA equals MEGA partnership for prosperity." It is in India's interest to maximise the potential the brave new deal offers and minimise the damage. ■